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Subject Code: DMF-04

Paper ID: 24332

GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**(TRIMESTER – IV) END TERM EXAMINATION, SEPTEMBER - 2022****Tax Planning and Management****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
(ii) **Attempt questions from each section as per the directions.**
(iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) "Income tax is a direct tax". Explain
(b) What are included and excluded from capital assets?
(c) Is profit earned from an illegal business taxable?
(d) Are gifts in kind taxable under the head income from other sources?
(e) Who is a specified employee under the Income-tax Act, 1961?
(f) State any four fully taxable allowances.
(g) Explain the different kinds of capital gain.
(h) Mention any two professional receipts
(i) How to gross up the net winnings?
(j) Explain the meaning of speculative transaction?

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)**

- Q.2. (a)** Specify with the reason, whether the following acts can be considered as tax planning or tax management or tax evasion or tax avoidance.
i. "Mr. P deposit Rs.1 lakh in PPF account so as to reduce his total income from Rs. 6 lakh to Rs. 5 lakh" assuming Mr. P does not opt for concessional tax regime u/s 115BAC of the Income tax Act, 1961.
ii. To reduce tax payable, Mr. Kunal Sharma, a resident individual, paid Rs. 55,000 as life insurance premium on the policy of his minor son. Assuming Mr. Kunal does not opt for concessional tax regime u/s 115BAC of the Income tax Act, 1961.
iii. Company claiming depreciation on the motor car which is being used by director for personal purposes.

OR

- (b)** Indicate whether the following acts can be considered as tax evasion/tax avoidance or otherwise:
(i) Samarth deposits Rs. 65,000 in the term deposit of 5 years with the Post Office to avail tax deduction under section 80C. Assuming Mr. Samarth does not opt for concessional tax regime u/s 115BAC of the Income tax Act, 1961.
(ii) Sushil is using a motor car for his personal purposes, but charges as business expenditure.
(iii) PQR industries Ltd installed an air-conditioner costing Rs. 75,000 at the residence of a director as per terms of his appointment but treats it as fitted in quality control section in the factory. This is with the objective to treat it as plant for the purpose of computing depreciation.
(iv) SQL limited maintains a register of tax deduction at source affected by it to enable timely compliance.

- Q.3. (a)** "Tax planning is a legal way and moral way of Tax Saving." Discuss the statement.

OR

- (b)** Explain the broad areas of distinction between tax planning, tax avoidance and tax evasion.

- Q.4. (a)** Explain the various kinds of capital gains? State the procedure of computation of capital gain.

OR

- (b)** Mr. X purchased a house property on 10.05. for Rs 76,000 on 10th May, 1984. He gets the first floor of the house constructed in 1988-89 by spending ₹ 80,000. He dies on 12th September, 2004. The property is transferred to Mrs. X by his will. Mrs X spends ₹ 81,900 during 2005-06 for renewal/construction of the property. Mrs X sells the house property for Rs 18,00,000 on 15th March, 2022 (brokerage paid by Mrs X is ₹ 18,000). The fair market value of the house on 1st April 2001, is ₹ 3,20,000. Compute the amount of capital gains chargeable to tax for the Assessment Year 2022-23.
The cost inflation index for 2001-02 was 100, for 2005-06 it was 117 and for 2021-22 it was 317.

- Q.5. (a).** Following are the particulars of the income of Smt. Kiran:

₹

(i) Interest received on Government Securities	9,000
(ii) Dividend from a Foreign Company	8,000
(iii) Amount received from winnings of lottery	66,500
(iv) Winning from wager	25,000
(v) Income from letting on hire the private car (Letting on hire of the car is not the business of Smt. Kiran)	40,000
(vi) Family Pension (per month)	1,500

She incurred the following expenditures:

- (i) Interest paid on loan taken to purchase shares and securities ₹7,000.
- (ii) Bank commission paid @ 2% for collecting interests.
- (iii) Spent ₹ 1,500 on purchasing lottery tickets
- (iv) Expenses of the private car for the period during which it let out ₹ 12,000 (including depreciation)

Compute the income of Smt. Kiran under the head 'Income from Other Sources' for the Assessment Year 2022-23

OR

(b) From the following particulars compute the Business Income of Mr. Satyam

Particulars	₹	Particulars	₹
To Salaries	90,000	By Gross Profit	4,50,000
To Rent	20,000	By Dividend	4,000
To Service Charges	4,000	By Bad Debts recovered (allowed earlier)	4,400
To Legal Expenses	5,000	By Interest on Post Office Savings Bank	1,200
To Reserve for Income Tax	6,000		
To Depreciation	12,000		
To Expenses on the acquisition Of Patent Rights	56,000		
To Office Expenses	42,000		
To Contribution to RPF	12,000		
To Bad Debts	4,500		
To Donation by Cheque	2,500		
To Net Profit	2,05,600		
	<u>4,59,600</u>		<u>4,59,600</u>

Other Information:

1. Legal expenses include ₹ 2,000 incurred by the assessee for defending a criminal case against him.
2. Depreciation of the year on the assets other than patent rights is ₹ 16,900.
3. Contribution to RPF includes ₹ 2,000 not paid till due to filing the return of income.

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) Dr. Aggrawal is a medical practitioner. Besides his own practice, he works as a part-time physician in a private hospital for which he receives a monthly remuneration. He is also a consultant- physician of XYZ Co. Ltd, on a monthly retainer fee.

The doctor maintains a record of his receipts and payments and for the year ended 31st March, 2022 the following information is abstracted there from:

Receipts:

	₹
Consultation fee receipts	2,60,000
Gross Remuneration from the private hospital	1,34,000
Retainer fee from XYZ Co. Ltd	60,000
Interest on bank fixed deposits (nationalised bank)	13,000

Payments:

Rent and electricity charges for the clinic	12,000
Telephone charges	2,400
Printing and Stationary	500
Car maintenance expenses	12,000
Wages of Clinical assistant	3,600
Driver's salary	3,600
Life Insurance Premium	2,400

The written-down value of the car and the furniture at the clinic as on 1.4.2021 are noted to be the ₹25,000 and ₹2,000 respectively. 20% of the use of the car and the telephone is attributable to the personal and private purposes. Provide for depreciation on car @15% and furniture @10%

Compute the gross total income of the doctor for the Assessment Year 2022-23

6(b) Shri Rajesh Kumar is getting ₹15,000 p.m. as basic pay, ₹1500 p.m. as dearness pay and ₹500 p.m. as dearness allowance.

During the previous year he received the following allowances also:

- (1) ₹ 60,000 as an allowance for reimbursement of personal expenses while on duty during the running of a truck.
 - (2) ₹ 120 p.m. per son as education allowance for the education of his two sons.
 - (3) Both these sons are living in a hostel on whom Shri Rajesh Kumar is spending ₹ 500 p.m. per son. He is getting ₹ 350 p.m. per son as hostel allowance for meeting this expenses.
 - (4) ₹ 350 p.m. as Tribal Area Allowance.
 - (5) ₹ 100 p.m. as conveyance allowance which is used by him for private purposes.
 - (6) ₹ 3000 p.m. House Rent Allowance.
- Shri Rajesh Kumar has taken a house for his residence at Bilaspur at ₹ 4,000 per month as rent. He contributes 12% of his basic pay and dearness pay to his Recognised Provident Fund and the employer also contributes a similar amount.

Compute the taxable salary of Shri Rajesh Kumar for the Assessment Year 2022-23.